already being used on a pilot basis and may gradually become the standard means of payment in China.

Despite not having a fully convertible currency, China was able to use its economic and political clout to persuade the International Monetary Fund to accept the RMB as one of the reserve currencies in its Special Drawing Rights basket. The other currencies are the US dollar, the British pound, the Japanese yen and the euro. China has promoted the use of its currency in countries that host BRI projects.

China has a large and expanding bond market, second only to that of the US. It is currently about US$16 trillion. It has been opened to foreign holdings and may become a significant component of the global bond market. Several multinational financial and asset management firms, including prominent US firms, have entered the Chinese bond market. China's profile in the global financial market has expanded even though the US remains the dominant player.

Chinese leaders regard the next three decades as critical to China's emergence as the world's most powerful and influential country by 2049, when it will celebrate 100 years of the establishment of the People's Republic of China. It is acknowledged that there will be difficult challenges and even setbacks, but the 2019 White Paper declared,

> The world is undergoing great changes unseen in a century but time and momentum is on our side. [11]

It is this confidence and assurance that lie behind China's current assertive diplomacy, its willingness to adopt coercive measures against those who disregard its preferences and display magnanimity towards those who defer to its leadership. This behaviour pattern derives from China's imperial past, which has been the subject matter of the earlier chapters in this book.

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The foreign policy shifts which are often ascribed to Xi Jinping were already evident in statements made by his predecessors and in Party documents. They resulted from a fresh assessment of the international balance of power after the global financial and economic crisis of 2008,